

Introduction to Business

Business Ownership

Module Learning Outcomes

Distinguish among the forms of business ownership

- 7.1: List and explain the important factors in choosing an organizational type
- 7.2: Discuss the advantages and disadvantages of sole proprietorships
- 7.3: Discuss the advantages and disadvantages of partnerships
- 7.4: Discuss the advantages and disadvantages of corporations
- 7.5: Discuss the advantages and disadvantages of hybrid forms of business ownership
- 7.6: Discuss the advantages and disadvantages of franchises
- 7.7: Describe the two types of mergers and acquisitions

Choosing an Organizational Type

Learning Outcomes: Choosing an Organizational Type

7.1: List and explain the important factors in choosing an organizational type

- 7.1.1: List the important factors in choosing an organizational type
- 7.1.2: Explain the important factors in choosing an organizational type

Forms of Business Ownership

- Business Organizational Options:
  - Sole proprietorship
  - General partnership
  - Franchise
  - Limited partnerships and limited liability partnerships (LLP)
  - Limited liability company (LLC)
  - C Corporation
  - S Corporation
- Each type of business has its own set of risks and rewards, costs and benefits.
- Picking the best type depends on the nature of the business opportunity and the level of personal exposure to risk the owner is willing to accept.

Considerations in Choosing an Organizational Type

- Cost of start up
- Control vs. responsibility
- Do you want to share the profits?
- Taxation
- Entrepreneurial ability
- Risk tolerance
- Financing
- Continuity and transferability



Practice Question 1

Which of the following is a downside of choosing a business structure where the owner has full control?

A. The owner must hire a CPA for the business

B. The owner has full responsibility and liability for the business

C. The owner must work all hours the business is open

D. The owner cannot use their real name when obtaining a business license



Sole Proprietorship

Learning Outcomes: Sole proprietorship

7.2: Discuss the advantages and disadvantages of sole proprietorships

- 7.2.1: Define sole proprietorship
- 7.2.2: Discuss the advantages and disadvantages of sole proprietorships

Defining Sole Proprietorship

- Sole proprietorships are:
  - Owned and run by one person
  - Have no distinction between the business and the owner
  - Businesses where the owner is entitled to all business profits and is responsible for all business debts, losses, and liabilities
  - The simplest and most common legal structure for a business



Advantages and Disadvantages of Sole Proprietorship

Advantages

- Easy and inexpensive to form
- Profits all go to owner
- Direct control of the business
- Freedom from government regulation
- No special taxation
- Ease of dissolution

Disadvantages

- Unlimited personal liability for the sole proprietor
- Difficulty raising capital
- Limited managerial expertise
- Trouble finding qualified employees
- Personal time commitment
- Unstable business life
- Losses are the owner's responsibility

Practice Question 2

What would be an advantage of choosing a sole proprietorship over other legal structures of business?

A. The sole proprietorship can live long after its founder moves on

B. The sole proprietorship is protected from all liability

C. The sole proprietorship pays no taxes

D. The sole proprietorship would be cheaper to set up



Partnerships

Learning Outcomes: Partnerships

7.3: Discuss the advantages and disadvantages of partnerships

- 7.3.1: Define partnerships as a form of business
- 7.3.2: Describe the difference between general and limited partnerships
- 7.3.3: Discuss the advantages and disadvantages of partnerships

Defining Partnerships

- Partnerships are businesses in which two or more people share ownership and responsibility.
- Each partner contributes to all aspects of the business, including money, property, labor, or skill.
- Each partner shares in the profits and losses of the business.



Types of Partnerships

General Partnership

- Assume that profits, liability, and management duties are divided equally among partners.
- If you opt for unequal distribution, the percentages assigned to each partner must be documented in the partnership agreement.

Limited Partnerships (also known as Limited Liability Partnerships)

- More complex than general partnerships.
- Allow partners to have limited liability as well as limited input with management decisions.
- Limited partnerships are attractive to investors of short-term projects.

Forming a Partnership and Partnership Taxes

Forming a partnership: To form a partnership, you must:

- Register your business with the state
- Establish your business name
- Once your business is registered, you must also obtain licenses and permits

Partnership taxes: Most businesses will need to register with the IRS, register with state and local revenue agencies, and obtain a tax ID number. In addition, partnerships must file an **annual information return** to report income, deductions, gains, and losses from the business' operations, but *the business itself does not pay income tax.* Partners include their respective share of the partnership's income or losses on their **personal tax returns.**

Advantages and Disadvantages of Partnerships

Advantages

- Easy and inexpensive to form
- Shared financial commitment among partners
- Complementary skills / utilize the expertise of each partner
- Partnership incentives for employees

Disadvantages

- Joint and individual liability
- Disagreements among partners
- Shared profits

Class Discussion: Going into Business with a Friend

- Is it a good idea to form a partnership business with a friend?
- What are some of the considerations to think about if you decide to do so?

Practice Question 3

Caitlin is invited to join a business as a partner due to her expertise in the field. She is asked to sign a partnership agreement that gives her 40% of the profits, full control of the marketing activities, but final say on all other decisions goes to the original owner. She is joining:

A. A limited partnership

B. A general partnership

C. A dual proprietorship

D. An S corporation



Practice Question 4

The following are all advantages of business partnerships EXCEPT:

A. Partnerships shield the individual partners from debt and liability

B. Partnerships are relatively easy and inexpensive to set up

C. Partnerships pool the resources of the partners to obtain capital

D. Partnerships can take advantage of the various skills, strengths, and experiences of each of the partners



Corporations

Learning Outcomes: Corporations

7.4: Discuss the advantages and disadvantages of corporations

- 7.4.1: Summarize the difference between C and S corporations
- 7.4.2: Explain the purpose and requirements of a benefit corporations (B corp)
- 7.4.3: Discuss the advantages and disadvantages of corporations

Background on Corporate Rights

Corporate personhood: the legal notion that corporations, apart from their associated human beings (like owners, managers, or employees), have some, but not all, of the legal rights and responsibilities enjoyed by natural persons (physical humans). Corporations have the right to enter into contracts with other parties and to sue or be sued in court in the same way as natural persons or unincorporated associations of persons.

Since the Supreme Court's ruling in *Citizens United* v. *Federal Election Commission* in 2010, upholding the rights of corporations to make political expenditures under the First Amendment, there have been several calls for a U.S. Constitutional amendment to abolish corporate personhood. While the *Citizens United* majority opinion makes no reference to corporate personhood or the Fourteenth Amendment, Justice Stevens' dissent claims that the majority opinion relies on an incorrect treatment of corporations' First Amendment rights as identical to those of individuals.

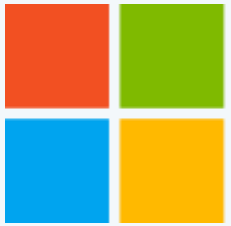
Types of Corporations

Three types of corporations:

1. C corporations
2. S corporations
3. B corporations

C Corporations

- Independent legal entities owned by shareholders
- More complex than other business structures because of
  - Costly administrative fees
  - Complex tax and legal requirements
- When you form a corporation, you form a **separate tax paying entity**, unlike sole proprietorships or partnerships
- Income paid as dividends is taxed twice



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Advantages and Disadvantages of C Corps

Advantages

- **Limited liability:** shareholder's personal assets are protected. Shareholders can generally only be held responsible for their investment in stock in the company
- **Ability to generate capital** through sale of stock
- **Corporate tax treatment:** Corporations file taxes separately from their owners.
- **Attractive to potential employees**

Disadvantages

- **Time and money**: costly and time consuming to start and operate
- **Double taxing**: In some cases, corporations are taxed twice—first, when the company makes a profit, and again when dividends are paid to shareholders.
- **Additional paperwork**: There are increased paperwork and record-keeping burdens associated with this entity.

S Corporations

- Special type of corporation created through an IRS tax election
- An eligible domestic corporation can avoid double taxation by electing to be treated as an S corporation
- Profits and losses can pass through to your personal tax return
- The business is not taxed; instead, only the shareholders are taxed
- Any shareholder who works for the company must pay herself a “reasonable compensation”

Advantages and Disadvantages of S Corps

Advantages

- **Tax savings**: Only the wages of the S corp shareholder who is an employee are subject to employment tax.
- **Business expense tax credits**: Some expenses that shareholder/employees incur can be written off as business expenses.
- **Independent life**: An S corp designation also allows a business to have an independent life, separate from its shareholders.

Disadvantages

- **Stricter operational processes**: As a separate structure, S corps require scheduled director and shareholder meetings, minutes from those meetings, adoption and updates to by-laws, stock transfers, and records maintenance.
- **Shareholder compensation requirements:** A shareholder must receive reasonable compensation.

Benefit (B) Corporations

- Type of for-profit corporate entity, authorized by thirty U.S. states and the District of Columbia, that creates a **general public benefit**, which is defined as a material positive impact on society and the environment. This can include positive impact on society, workers, the community, and the environment.

- Transparency provisions require benefit corporations to publish annual benefit reports on their social and environmental performance using a comprehensive, credible, independent, and transparent third-party-standard.

- *Differ from traditional C corporations in purpose, accountability, and transparency, but not in taxation. B Corps elect to be taxed as a C or an S corp.*

Advantages and Disadvantages of B Corps

Advantages

- **Protection of mission:** Becoming a B Corp gives companies more options and protections if they decide to sell the business to someone else or take it public
- **Reputation:** B Corps stand out as businesses that have a social conscience and aspire to a standard they consider higher than maximizing profit
- **Creation of value:** B Corps may create value via employee engagement and customer loyalty, thereby improving results for all stakeholders

Disadvantages

- **Transparency and reporting requirements:** B Corps must provide an annual benefit report according to a third-party standard and make the report available on their company Websites.
- **Annual fees to retain certified B Corp status**
- **Compliance and governance obligations:** Most states require publicly traded companies with a B corp designation to have a "benefit director" who is responsible for ensuring that the corporation meets its stated public purpose.

Practice Question 5

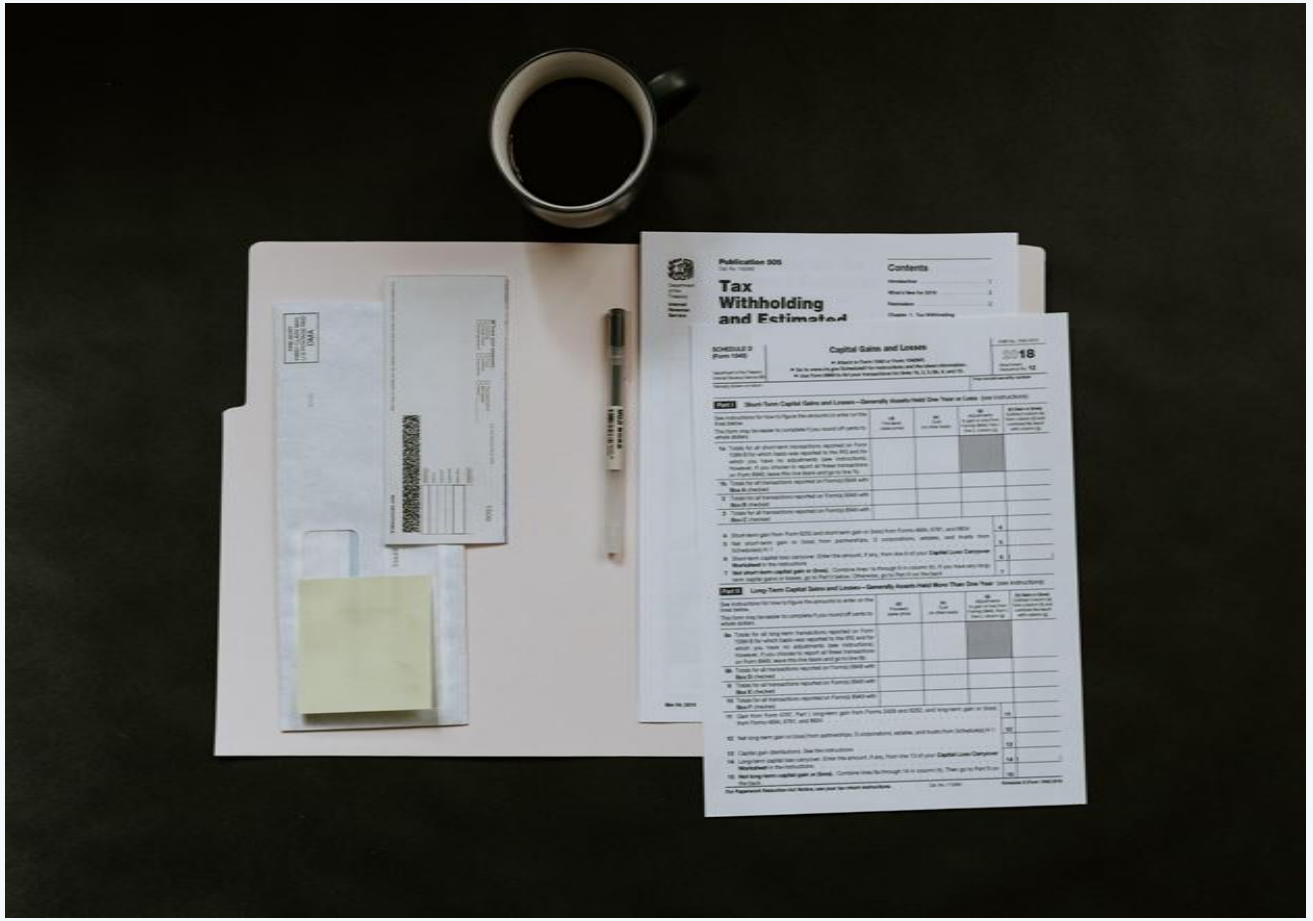
The most significant differences between C and S corporations have to do with:

A. Supply chain structure, compliance standards, and taxation

B. Taxation, operation, and incorporations

C. Administration, employee benefits, and taxation

D. Taxation, administration, and shareholder compensation



Hybrid Forms of Ownership

Learning Outcomes: Hybrid Forms of Ownership

7.5: Discuss the advantages and disadvantages of hybrid forms of business ownership

- 7.5.1: Define limited liability company (LLC) as a form of business
- 7.5.2: Discuss the advantages and disadvantages of LLCs
- 7.5.3: Define limited liability partnerships (LLP) as a form of business
- 7.5.4: Discuss the advantages and disadvantages of LLPs

LLC (Limited Liability Company)

- Hybrid business structure allowed by state statute
- Provides the limited liability features of a corporation
- Provides tax efficiencies and operational flexibility of partnerships
- Owners of an LLC are called members.
- Unlike shareholders in a corporation, LLCs are not taxed as a separate business entity: instead profits and losses are “passed through” the business to each member of the LLC

Advantages and Disadvantages of an LLC

Advantages

- **Limited Liability:** Members are protected from personal liability for business decisions
- **Less Record Keeping** compared to an S Corporation
- **Sharing of Profits:** Members distribute profits as they see fit. It's up to the members to decide who has earned what percentage of the profits or losses

Disadvantages

- **Possible Limited Life:** When an LLC is formed, the members must decide on the duration of the LLC.
- **Self Employment Taxes:** Members of an LLC are considered self-employed and must pay the self-employment tax contributions towards Medicare and Social Security.

LLP (Limited Liability Partnership)

- A partnership in which some or all partners have limited liabilities
- One partner is not responsible or liable for another partner's misconduct or negligence
- Some states require one partner to be a "general partner" with unlimited liability
- Partners may manage the company directly without electing a board of directors
- Profits are allocated among the partners for tax purposes, avoiding the problem of "double taxation" often found in corporations

Advantages and Disadvantages of an LLP

Advantages

- **Single taxation:** The credits and deductions of the company are passed through to partners to file on their individual tax returns.
- **Limited liability**: The LLP structure protects individual limited partners from personal liability for negligent acts of other partners or employees not under their direct control.
- **Flexibility:** LLPs provide the partners flexibility in business ownership.

Disadvantages

- **Duration:** The business life of an LLP is unstable.
- **Limitations of formation:** Limited liability partnerships are not recognized as legal business structures in every state.
- **Partner control:** If an LLP is formed without a limited liability partnership agreement, individual partners are not obligated to consult with other participants in certain business agreements.

Practice Question 6

Warren is starting a business. His biggest concerns are losing everything he owns if something goes wrong and being mired in strict taxation and administrative regulations. For those reasons, he decides to start a(n):

A. C Corporation

B. S Corporation

C. Sole Proprietorship

D. LLC



Practice Question 7

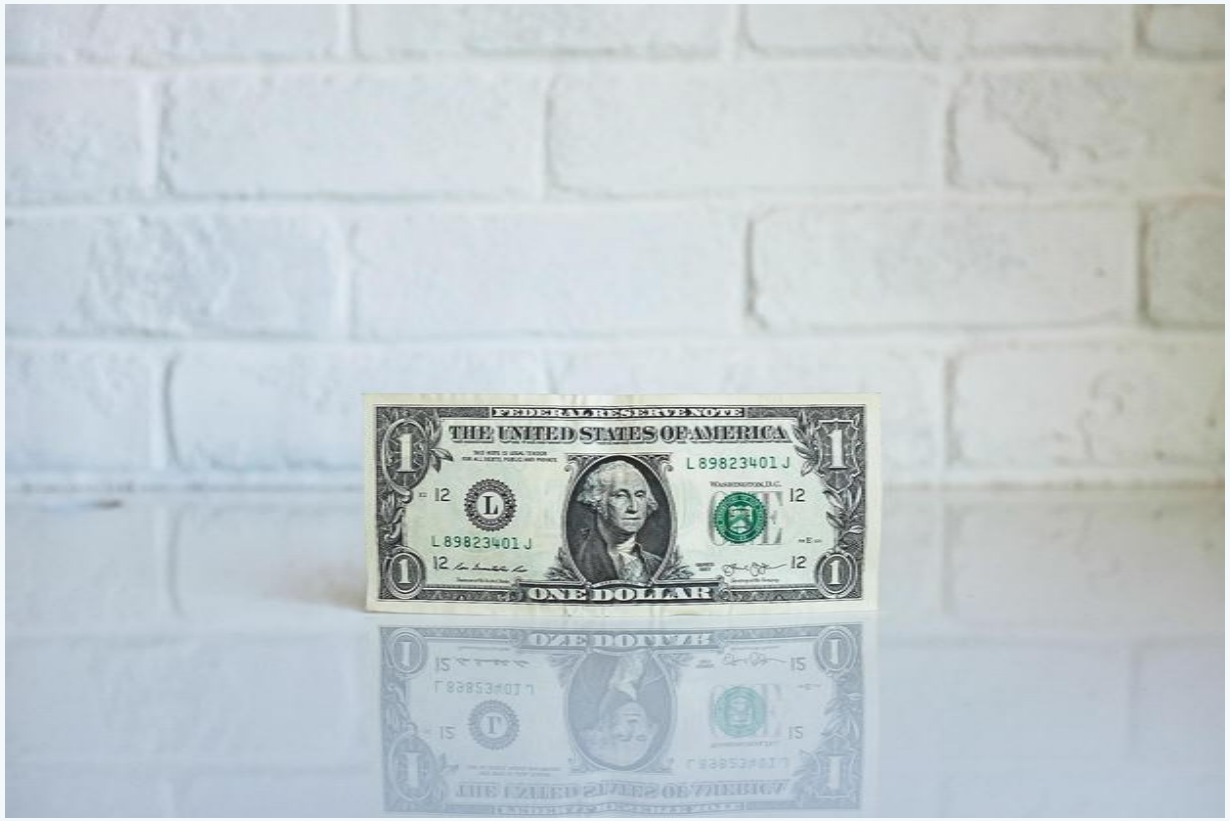
This business legal structure can be defined as having single taxation, limited liability, and the flexibility to let each individual in the business decide how much responsibility and participation they want. This is a(n):

A. LLP

B. LLC

C. B Corp

D. C Corp



Franchises

Learning Outcomes: Franchises

7.6: Discuss the advantages and disadvantages of franchises

- 7.6.1: Discuss franchises as a form of business
- 7.6.2: Discuss the advantages and disadvantages of franchising for the franchisee
- 7.6.3: Discuss the advantages and disadvantages of franchising for the franchisor

Defining Franchises

A **franchise** is a business model that involves one business owner (the **franchisor**) licensing trademarks and methods to an independent entrepreneur (the **franchisee**) for a prescribed period of time.

For the franchisor, the franchise is an alternative to expanding through the establishment of a new location, which avoids the financial investment and liability of a chain of stores.



Advantages and Disadvantages for the **Franchisee**

Advantages

- **Less risk**
- **Name/brand recognition:** The franchise has an established image and identity already, which can reduce or simplify marketing efforts.
- **Access to expertise, ongoing support:** Franchisee often receives help with site selection, training materials, product supply, and marketing plans.
- **Relative autonomy**

Disadvantages

- **Cost:** Buying and running a franchise can be very expensive.
- **Unequal partnership:** The franchisor sets the rules, and the franchisee must follow them.
- **Rules and enforcement:** Franchisor rules imposed by the franchising authority are becoming increasingly strict. Some franchisors are using minor rule violations to terminate contracts and seize the franchise without any reimbursement.

Advantages and Disadvantages for the **Franchisor**

Advantages

- **Access to capital for growth and expansion**
- **Cash flow for operations:** In addition to initial franchise fees that can range from $50,000 to $5 million, franchisors receive payments in the form of royalties from each franchisee.
- **Economies of scale:** Once a franchise is established with multiple locations, the company may be able to leverage its buying power to realize economies of scale with suppliers, advertisers, and vendors.

Disadvantages

- **Lack of control:** Despite the language of the franchise agreement, once the franchisee has established their location, the franchisor may have difficulty ensuring that quality standards are met and the franchise is operating in a manner that benefits the brand.
- **Trade secrets:** If the success of a business is based on a trade secret, special process, or innovative technology, establishing a franchise may make the business vulnerable to knock-offs or imitation.
- **Overexposure / Brand Dilution**

Practice Question 8

The advantages of being a franchise are:

A. Risk reduction, brand recognition, and no royalty payments

B. Risk reduction, brand recognition, and relative autonomy

C. Brand recognition, no initial investment, and access to expertise

D. Access to expertise, relative autonomy, and startup funds



Practice Question 9

These are the primary disadvantages for the Franchisor in a franchise business model.

A. Vulnerability of trade secrets, high cost of entry, and lack of control

B. Increased investment risk, lack of control, and overexposure of the brand

C. Lack of control, vulnerability of trade secrets, and overexposure of the brand

D. Increased tax rate, lack of control, and overexposure of the brand



Mergers and Acquisitions

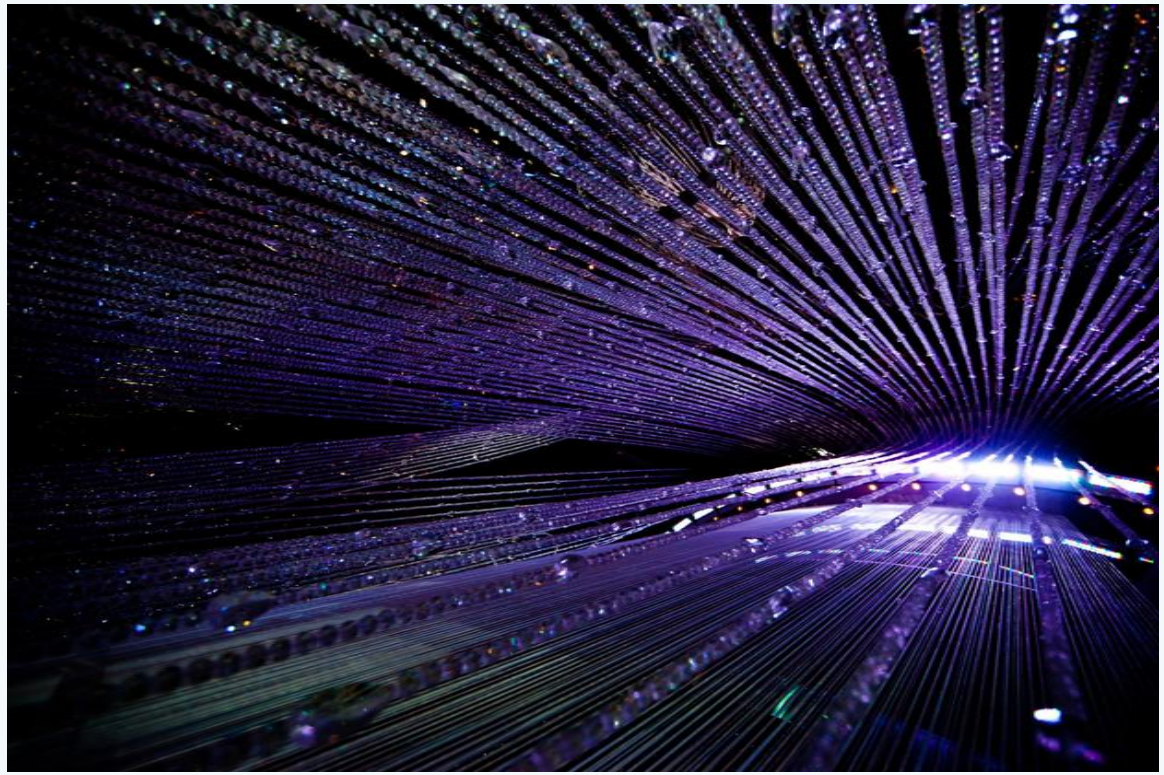
Learning Outcomes: Mergers and Acquisitions

7.7: Describe the two types of mergers and acquisitions

- 7.7.1: Define merger as a business strategy
- 7.7.2: Define acquisition as a business strategy
- 7.7.3: Explain why companies undertake horizontal mergers and acquisitions
- 7.7.4: Explain why companies undertake vertical mergers and acquisitions

Defining Mergers

- A merger is the consolidation of two companies that, prior to the merger, were operating as independent entities.
- A merger usually creates one larger company, and one of the original companies ceases to exist.
- Mergers can be either horizontal or vertical.



Two Types of Mergers

Horizontal

- Occurs between companies in the same industry
- A consolidation of two or more businesses that operated in the same market space, often as competitors
- Common in industries with fewer firms where competition tends to be higher

Vertical

- A merger of two organizations that have a buyer-seller relationship or
- Two or more firms that are operating at different levels within an industry's supply chain
- Logic behind the merger is often that the two firms would operate more efficiently together rather than separately

Defining Acquisitions

An **acquisition** occurs when a company purchases the assets of another business (such as stock, property, plants, equipment) and usually permits the acquired company to continue operating as it did prior to the acquisition.

Acquisition usually refers to a purchase of a smaller firm by a larger one.

Sometimes a smaller firm will acquire management control of a larger and/or longer-established company and retain the name of the latter for the post-acquisition combined entity.

Reasons for Mergers and Acquisitions

- Obtaining quality staff or additional skills, knowledge of your industry or sector, and other business intelligence
- Accessing funds or valuable assets for new development
- Your business is underperforming
- Accessing a wider customer base and increasing your market share
- Diversification of the products, services, and long-term prospects of your business
- Reducing your costs and overheads through shared marketing budgets, increased purchasing power, and lower costs
- Reducing competitions
- Organic growth

Practice Question 10

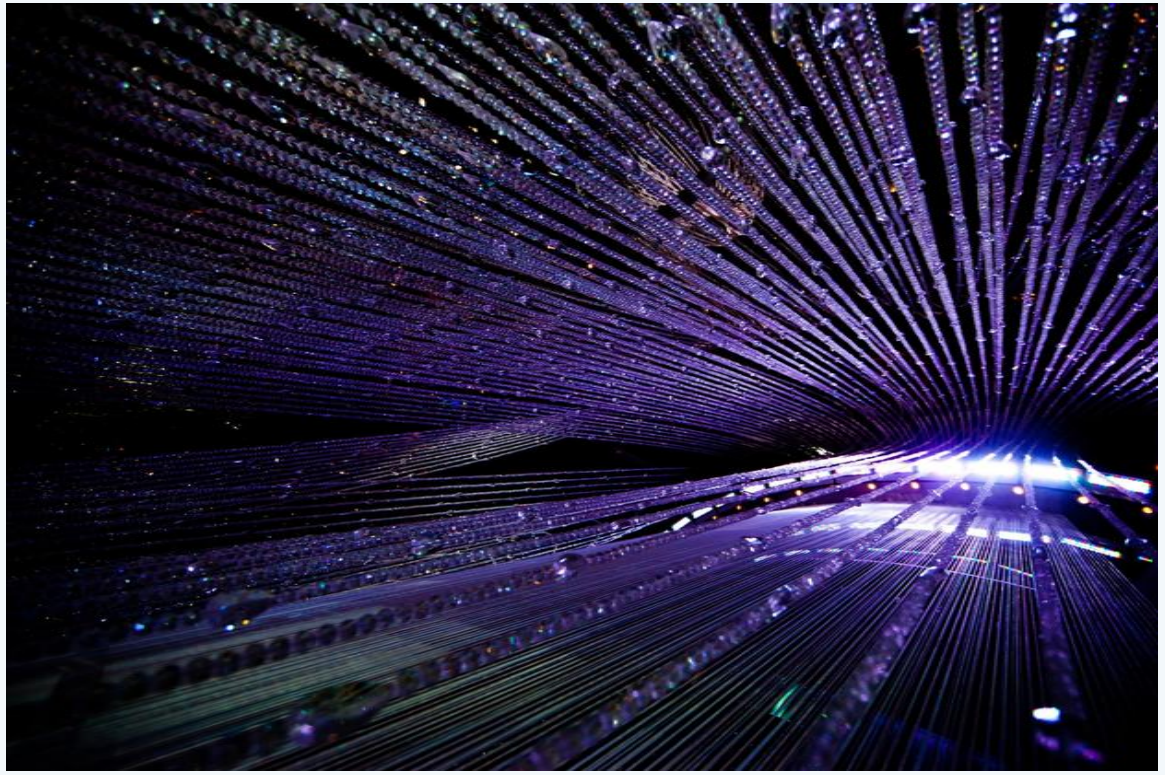
What is the biggest benefit to businesses of horizontal mergers and acquisitions?

A. Market valuation decreases

B. Competition is reduced

C. Customer feedback improves

D. Employee career paths lengthen



Class Discussion: Business Ownership

As we have learned, businesses can have a variety of ownership structures based on the vision, size, liability. and control wanted by the organization. DIs it correct to assume that small businesses are set up as Sole Proprietorships and evolve into C Corporations as they grow?

Match the company with its business structure:

1. American Airlines
2. IKEA
3. Intel
4. Exxon Mobile
5. Mars, Inc.
6. Apple
7. Dyson
8. Albertsons





Quick Review

- What are the important factors in choosing an organizational type?
- What are the advantages and disadvantages of sole proprietorships and partnerships?
- What are the advantages and disadvantages of corporations?
- What are the advantages and disadvantages of hybrid forms of business ownership?
- What are the advantages and disadvantages of franchises?
- What are the two types of mergers and acquisitions?